

CHAPTER FIVE

5. Structure and Roles of Boards

What Boards are all about and why Boards are for?

- The board of directors is the principal governing body of PEs.
- It is the highest level mgmt. body responsible for overseeing the execution and ensuring achievement of the objectives of PEs.
- The board is entrusted with dual functions.
 - **Trustee Function:** protecting the enterprise from undue gov't interference, and
 - **Guidance and Oversight Function:** representing the gov't in the mgmt. of that enterprise by performing Oversight Function.

- **Boards differ in their ability to secure the independence of the enterprise and give administrative leadership.**
- **This ability depends on their length of services and conditions of the appointment of members.**
- **Boards largely vary in the appointment criteria and tenures of members, in their structures, powers, functions and specific responsibilities.**
- **Boards may lack confidence and initiative mainly due to shortage of professional skill, uncertainty of tenure, inadequacy of power vested in them and unclear role definition.**

- **Hence, the success or failure of PEs is the direct reflection of the strength or weakness of boards.**
- **The fulfillment of the leadership and trustee function of boards depend on their credibility in the face of the professional managers & the gov't.**
- **Consequently, boards may be helplessly sandwiched between the political power of the state and the expertise power of the professional managers.**
- **In most cases, boards are less knowledgeable and inefficient in properly playing their roles. This in turn has an implication to the level of performance of PEs they lead.**

5.1 Types and Structures of Boards

- **The type of board to be established for each PE (in terms of structure, composition, mandate, etc.) is the primary concern of government**
- **There are five possible options in the set up of a board; namely:**
 - (i) No board,**
 - (ii) Wholly external board,**
 - (iii) Wholly internal board,**
 - (iv) Two-tier board, and**
 - (v) Composite board.**

(A) No-Board

- **In this option, the top mgmt. of the enterprise is entrusted to a single individual (the manager).**
- **This option may suit more to the needs of a parastatal, which mainly has a regulatory or promotional function of a non-PE character.**
- **However, there are instances where other types of PEs may be managed by the no-board option.**
- **This option may appear attractive for some of its advantages, which include:**

- **It allows for speedy decisions, unhindered by lengthy discussions and delays involved in board meetings,**
- **It pinpoints responsibility & eases accountability**
- **This option has also several disadvantages, viz.:**
- **It has the danger of placing too much authority and responsibility on one person**
- **It leaves the fate of the enterprise entirely dependent on that person's competence and integrity**

- **It doesn't allow for participation of top mgmt.**
- **It makes no provisions for the leavening (second option) influence or advantage of outside opinion.**
- **It makes the sole controller (the manager) vulnerable to illegitimate external pressure.**
- **Therefore, this option doesn't commend itself as a long-term arrangement.**
- **It can at best be used on a transitional basis.**

(B) Wholly External Board

- **This pattern common exists in developing countries. Under this pattern, all members of the board, except the managing director of the enterprise, are "outsiders".**
- **Members are not employees of the enterprise, nor are directly responsible for specific operational (day-to-day mgmt.) functions.**

This model has some obvious advantages or benefits, such as:

- **It provides for the nomination of external professionals with mature experiences who can bring alternative ideas or optional solutions to problems and guide professional managers of the PE.**
- **It allows for the nomination of interest groups such as consumer councils, trade unions, environmental groups and the academia.**
- **It also provides room for the participation of relevant gov't ministries and agencies**
- **Such external groups are unbiased by day-to-day problems of management; hence provide objective assessment of performances.**

The major shortcomings of this model are:

- **Board members bear no direct responsibility for day-to-day management issues.**
- **It is possible that board members can be "influenced" by manipulative and skillful chief executive officer (CEO).**
- **Even worse, the model excludes the top mgmt. from the highest policy-making body.**
- **It doesn't consequently provide for participative mgmt. shared vision, and cadre building.**

(C) Wholly Internal Board

- **This is the obverse (opposite) of the (B) model.**
- **It is the setting up of a board composed of entirely fulltime directors, who are holding senior positions in the enterprise.**
- **Members include major department heads such as finance, production, marketing, and HR managers.**
- **The chief executive holds dual posts; i.e. the managing director of the enterprise and chairperson of the board.**

The advantages of this model include:

- It ensures professional competence**
- It provides room for participative management**
- It provides an atmosphere of involvement, incentive and motivation**
- It establishes direct linkage between authority and responsibility**
- It gives opportunities for senior staffs to reach the top level mgmt. and design career dev't plan.**
- It can create a pool of top mgmt. capability from which the chief executive of PEs can be selected**

The major drawbacks of this option are:

- It is too "inbred", and everything is decided based on internal knowledge, information and initiative.**
- It makes no room for the representation of relevant gov't agencies and interest groups from outside**
- It doesn't create a chance for second opinions (relevant external ideas).**
- This pattern is rarely used in large PEs and is not commendable as a long term option.**

(D) Two-Tier Board

- **This model is an attempt to place option "B" and "C" above in one enterprise at a separate level. It has got a growing popularity in many countries like Germany and USA.**
- **In effect two-tier boards are created:**
 - (a) At the higher policy-making level, a supervisory board composed of outsiders, and**
 - (b) At the operational level, a management board composed of the enterprise managers.**

- **The chief executive presides over both the supervisory board and the management board; thus providing a link between the two bodies.**

This option has notable advantages such as:

- **It possesses the advantages of options "B" and "C" and avoids the drawbacks of the same options.**
- **It creates balance b/n participative management and the rigors of external control**
- **It is particularly suitable for public corporations serving the general public such as public transportation, electricity, water supply, etc.**

The model has, however, certain limitations; i.e.

- **Difficulty in the demarcation of authority and responsibility between the two boards.**
- **Bureaucratic delays due to the need for filtration of decisions at two levels.**
- **In practice, it is likely that one of the boards will capture power and make the other board only a nominal body.**
- **The possibility for the internal management board to exclusively run the enterprise; limiting the supervisory board into a sort of advisory or nominal council.**

(E) Composite Board

- **This pattern appears to provide answers for most of our concerns and, perhaps for this reason, it is being increasingly adopted in many developing countries.**
- **This model of the board is composed of a judicious blend of "insiders" and "outsiders".**
- **From the enterprise, the board includes the chief executive and senior managers heading various operational units.**

- **From outside, the board includes experts chosen for their professional merits and familiarity with the problems of the enterprise concerned, or the sector in general.**
- **Representatives of relevant interest groups and concerned gov't agencies will have also the chance to become members of the board.**
- **This model has all the advantages of option "D" with an additional merit of securing cohesion and unity of command.**

5.2 Selection and Tenure of Board Members

- **The next step after determining the structure of the board, is selection and appointment of board members.**
- **In the case of the wholly internal and composite boards, internal members secure their seats in an ex-officio capacity or management functions.**
- **Except in the case of shareholding companies, all members of boards are nominated by the gov't since the appointment of board members is part of those areas legitimized for state intervention.**

- **In the case of shareholding companies, nominations for board membership will be in proportion to the size of ownership.**
- **Boards are typically composed of gov't officials, at least in the majority.**
- **The ways this state prerogative is exercised can determine the health and performance of the enterprise. Excessive state interference affects PEs.**
- **For example, in developing countries, the criteria of political compulsion usually outweigh managerial necessities and the competence of individuals.**

- In the case of core PEs like central **holding companies**, the ministers themselves could be members of the board of directors.
- In extreme cases, in countries like Zambia (Chilumba) and South Korea (Park), the presidents themselves were chairs of the boards of big PEs.
- The real test of selectivity mainly arises in the nomination of non-officials.
- Hence, gov't needs to be careful in obtaining appropriate mix of professions while nominating board members and assigning specific roles as a chair, secretary, and so on of the board.

There are general guidelines in the selection of external board members. At least, they must have:

- **Awareness of gov't policies and dev't strategies.**
- **Adequate familiarity with the problems of the PE.**
- **Credibility in their background history in terms of their professional careers to be recognized and respected by the in-house members.**
- **Time and interest to attend regular meetings of boards with adequate preparation on discussion topics.**
- **Free from having conflict of interest.**

Experiences of countries vary regarding where to find such potential members.

- **Some do have organized data banks of suitable candidates for appointment.**
- **The most common source is retired gov't officials and former PEs managers who have had proven success history in their previous careers.**

The tenure and degree of involvement of board members may vary as well.

- **They can serve as full-timers or part-timers;**
- **They may have specified or unspecified tenure, paid or unpaid service, etc.**

- **The lifetime of the board is entirely subject to the will of the gov't.**
- **For this reason, there is high trend of fluidity and uncertainty in their tenures (terms of offices).**
- **As a whole, there is no universal rule concerning the optimum tenure of board members.**

There are, however, two broad considerations:

- (a) The tenure should be long enough so that members could get adequate time to familiarize themselves with the operations and problems of the enterprise and to develop and implement medium-term plans and strategies.**

(b) The tenure should not be too long in order to avoid a state of stagnation of ideas, developing vested interest, mediocrity, etc. “Fresh blood brings in fresh ideas.”

These two broad considerations and common experiences suggest that the tenure of board members should range from a minimum of four years to a maximum of six years.

5.3 Powers and Responsibilities of Boards

- The last point gov't needs to determine is the precise role and authority of boards.
- As mentioned earlier, the functions of boards are generally **"entrepreneurship"** and **"trusteeship"**; not running the day-to-day operational activities of the enterprise.
- The board may act as a trustee for ethical and lawful operation of the enterprise by protecting them from unlawful interventions.
- The entrepreneurial role of the board is illustrated through its capacity of innovative responses to the constantly changing environment.

- **Thus, the most important entrepreneurial function of the board is risk **assessment** and **risk taking**, determined based on scenario analysis.**
- **Ideally, boards do have wide range of powers over the enterprise they manage, while in practice these could be little possible.**
- **The board has an interface with the gov't for matters that require gov't approval, and with the operating managers for what needs expert level knowledge and decision.**

- **In other words, the board's function is to support the enterprise and decide on policy level issues within the limits of the controlling statute and government direction.**
- **However, it would be impractical to have a standard list of issues to be reserved for board decisions and those to be left to the internal mgmt.**

Yet, we can have some examples that could clarify the importance of role distinctions:

- **Enterprises in sensitive areas exposed to public opinion such as utilities, public transport, water and electric supply, telephone services, etc. require strong board guidance.**
- **Labor intensive enterprises may require greater board attention than capital intensive enterprises.**
- **Monopolies need more intensive board supervision than competitive enterprises, since the market itself settles many of the board's responsibilities in the competitive ones.**

- **The degree of board control over managers is likely to be proportional to the degree of gov't share and interest on the enterprise.**
- **Generally, boards are responsible for matters related with the statutory responsibilities of the enterprise and for those requiring gov't approval.**
- **Boards have the duty to approve medium-term strategic plans and annual corporate plans and budgets.**
- **Boards are also responsible to evaluate and approve annual performances and audit reports.**

- **Boards are responsible to approve proposals for new investments, expansion and diversification of businesses, long-term borrowing, setting price thresholds or adjustments, and utilization of surplus.**
- **Boards can make decisions on the appointment of senior managers, wages and salary structures, incentive schemes and benefit packages, recruitment and promotion policies, etc.**